PERFORMANCE MANAGEMENT AND APPRAISAL POLICY

OBJECTIVE:

- This policy has been implemented to manage employee performance and to ensure timely appraisals for employees who meet all work compliance expectations.
- Our performance management system aims to ensure that all employees are fully aware of their individual and Company goals. It also aims to promote talent management within the Company.
- Appraisals, both self-performed and initiated by management, are conducted periodically to show employee appreciation for their contributions.
- This policy seeks to ensure that the performance of each employee is assessed fairly, regularly, and in line with standard company norms, so that employees can trust the company's Performance Management and Appraisal System.

APPLICABILITY:

The terms of this policy are applicable and enforceable to all full-time and part-time regular staff and employees. The performance of all applicable staff and employees will be assessed and evaluated annually by their respective supervisors.

PERFORMANCE APPRAISAL PROCEDURES AND SCHEDULE:

Appraisals will be conducted by supervisors, managers, and appraisers for all employees in the organization. Supervisors and managers, as employees, are also subjected to appraisals from team members and higher authorities in the company, including the CEO, CFO, and Managing Directors.

Appraisals will consider factors such as job skills, teamwork, additional competencies, contribution to the organization, results of given tasks, special achievements, social skills, and organizational citizenship behavior.

a) FOR ALL EMPLOYEES:

i. Employees must adhere to the plan outlined in the Work Blueprint/Plan provided by the company or the terms of employment agreed upon at the time of their appointment.

ii. Employees must complete a training program/course as per the terms of employment or Work Blueprint/Plan provided by the company.

iii. Employees are obligated to submit self-evaluations every quarter, following the instructions and resources provided by their Supervisor/Manager/Appraiser. These self-evaluations should contain:

- Employee goals,
- Department/team goals,
- Company goals,
- work progress since the last evaluation,
- Notable achievements,
- Areas of improvement for the employee
- Areas of improvement for the Supervisor
- Areas of improvement in the Company systems

iv. Employees must provide evidence of work performance as stated and specified in their self-evaluations.

v. We are shifting towards a continuous feedback culture where managers and employees engage in regular check-ins rather than waiting for the annual appraisal. This approach ensures that performance issues are addressed promptly and employees receive ongoing support and recognition.

vi. Recognizing the importance of employee well-being, performance appraisals will now consider factors such as work-life balance and mental health. Managers are encouraged to discuss these aspects during evaluations and provide necessary support or resources.

vii. Given the dynamic nature of the IT industry, employees will be allowed to adjust their goals throughout the appraisal period in response to changing business needs. This flexibility ensures that performance assessments remain relevant and aligned with current priorities.

viii. As part of the appraisal process, employees will work with their managers to develop personalized career development plans. These plans will outline the skills and experiences needed to achieve career goals and ensure alignment with the company's talent management strategy.

b) FOR SUPERVISORS/MANAGERS/APPRAISERS

i. All Supervisors, managers, and appraisers are required to provide their team members with the time frame for completion and the materials required for self-evaluation.

ii. All Supervisors, managers, and appraisers must also adhere to the plan specified in the company's Work blueprint/Plan or the terms of employment agreed upon during their promotion or appointment.

iii. All Supervisors, managers, and appraisers must complete any training programs or courses as outlined in the company's employment terms or work blueprint or plan.

iv. All Supervisors, managers, and appraisers are required to submit a self-appraisal twice a year, covering the items listed in Section III (a) (iii).

v. Furthermore, supervisors, managers, and appraisers should assess all members of their team group or department, taking into account the items mentioned in Section III (a).

vi. They should also review their participation and efficiency in team efforts and group projects.

RIGHTS OF EMPLOYEES:

All employees have the right to request feedback on their performance regularly.

PENALTIES:

If an employee fails to meet the minimum performance standards, indicated by a score of less than 50% of their overall performance assessment, they will receive a warning. The warning will inform the employee of their low-performance grade and require them to improve their work performance in specified areas, as per the appraisal. If the employee receives a low score for the second time, such performance will be grounds for dismissal.

CHANGE LOG:

Version	Date	Author	Section	Change Description
1.0	15-05-2020	HR	Overall	Release of the Performance management and appraisal Policy for this financial year.
1.1	13-08-2024	HR/Balaji	Overall	Release of the Performance management and appraisal Policy for this financial year.